

Teenage Business Writing Contest

2026

Tsugu Kamakura:

**A Heritage Micro-Business Holding Company for Succession, Knowledge Transfer, and
Collective Overseas Expansion**

(Without Citation: 1998 words)

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1. Executive Summary

Kamakura draws millions to its temples, crafts, and old-town streets. Yet the businesses that give the city that identity are quietly running out of time. With one in three residents over 65, many wagashi shops, tofu makers, and Kamakura-bori workshops are aging out without successors. This might seem like a problem the country already handles: Japan already has policy that supports succession through matching programs and loans, but finding a successor does not mean the business can survive. TSUGU Kamakura aims to close this gap. As a public-private holding company, it temporarily places at-risk heritage businesses under TSUGU Holdings, keeping the founder on as a paid advisor, transferring their know-how through a structured Transfer Capsule, and releasing ownership only after the successor meets clear performance milestones, and then keeps a legal golden share to protect the business's name and craft.

2. Problem & Background

Kamakura's heritage businesses are being squeezed from two sides: aging owners and tourism-driven commercial pressure. The city's resident register shows that 30.91 % of residents were aged 65 or older as of 2020, while children made up only 11.3%.

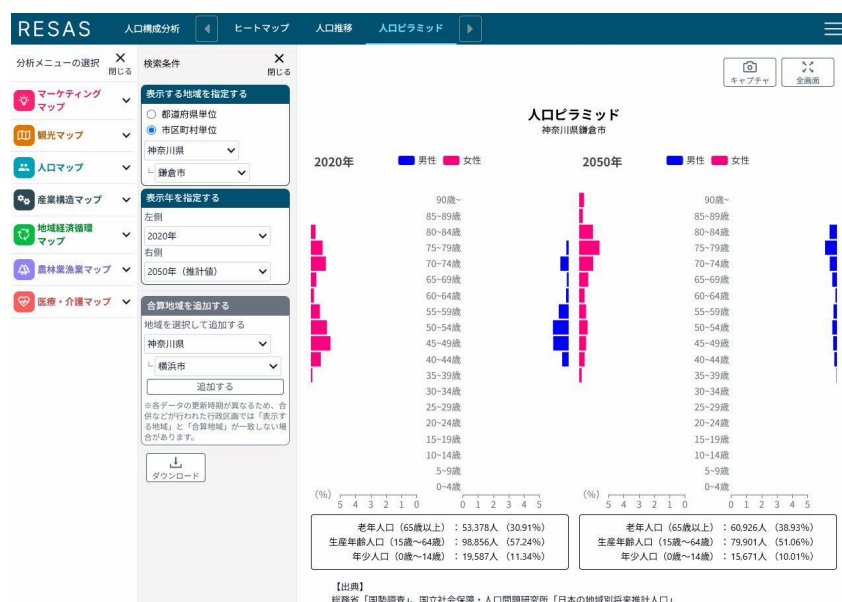
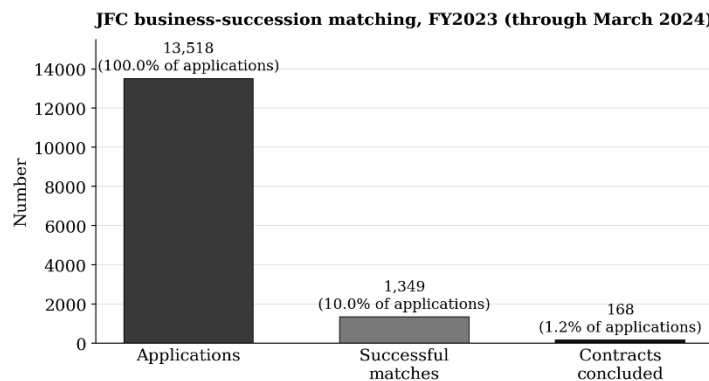


Figure 1. Kamakura's 2020 population pyramid (RESAS)

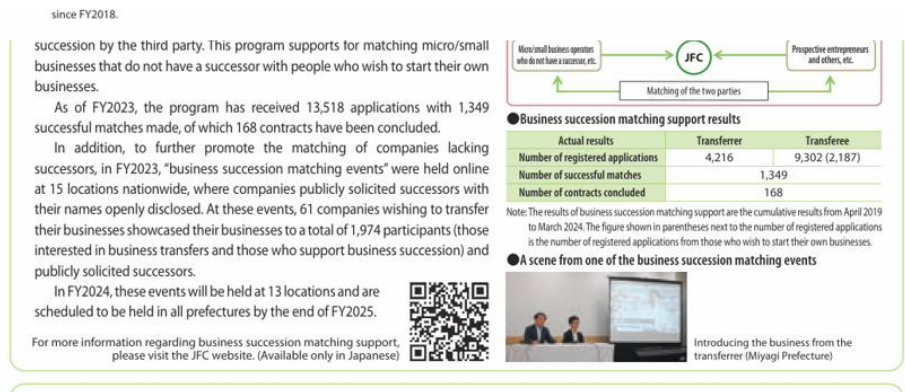
Tourism has also recovered strongly, with 15.94 million visitors in 2024 exceeding pre-pandemic numbers. However, this surge is driving up rents and shifting retail toward tourist-centric businesses, risking the replacement of local craft shops with generic commercial spaces.

To solve these problems Japan already has succession policies, including matching programs and loans. However, the Japan Finance Corporation’s figures show the limit of this approach: of 1,349 successful matches, only 168 became completed contracts. In other words, even after finding a possible successor the real problem is making the handover actually work.



Source: Japan Finance Corporation, JFC Activities 2024

Figure 2. Of 1,349 successful matches, only 168 became completed (source: JFC Activities 2024, p.15)



For founder-dependent heritage businesses, a successor cannot simply “buy” the company and operate it the next day. They need to inherit pricing logic, quality judgment, supplier trust, seasonal routines, and the founder’s unwritten standards, and the lack of support within the transfer market is the problem TSUGU Kamakura aims to solve.

3. Our Solution: The Transfer-Readiness Layer

Existing programs help owners meet possible successors, but TSUGU focuses on what happens after that by making the business ready to be inherited without losing its skill, trust, or identity.

1. Score them on heritage, resident, and export value
2. Bring the selected business under TSUGU Holdings
3. Keep the founder on as a paid advisor
4. Recruit through a meticulous selection system
5. Capture the founder's know-how in a Transfer Capsule and train a successor
6. Release ownership in stages as milestones are cleared
7. Use Holdings as a shared export platform for several businesses at once.

The hardest part of all this is turning a founder's tacit judgment into knowledge a stranger can learn. This summer I hope to develop a method for exactly that through the University of Tokyo's AEO high-school research program, transforming the experience-based decisions of Niigata rice farmers into teachable frameworks; through TSUGU, I will then test whether the same model holds for heritage crafts such as Kamakura-bori. The Transfer Capsule is how that research will be put to work.

Conventional M&A can produce manuals, documents, and handover notes, but these often capture only superficial knowledge. Therefore, the Transfer Capsule will be not an archive of files, but rather a system that will most likely consist of these five proprietary modules:

1. A Tacit Judgment Map records how the founder makes quality, pricing, and exception decisions.
2. An Exception Library captures failed batches and seasonal problems, so the successor learns judgment under stress.
3. A Supplier Trust Map records terms, informal customs, and the order of introductions.
4. A Quality Defect Atlas shows acceptable versus unacceptable work in photos and video.
5. A Case Card System turns real founder decisions into training scenarios, testing whether the successor can make the same judgment in practice.

Equity is released when the successor proves technique, supplier trust, quality control, and

customer retention. This linkage between tacit-knowledge evidence and ownership release is what ensures a proper transfer.

Furthermore, to protect each store's identity in law and not just on paper, TSUGU Holdings issues a veto-rights class share under Article 108 of the Companies Act to the TSUGU parent company. This share grants a veto over only three actions: changing the brand name or production region, altering core local-supplier contracts, and transferring the protected technique or recipe. This serves as the Heritage Covenant; an enforceable agreement that lets successors modernize the business without erasing the identity that made it worth saving.

TSUGU separates the work that must be done by hand from the work that can be built once and reused. The hands-on, local work such as earning each owner's trust, observing the workshop daily, will be handled on the ground by district transition managers. The reusable work is built once at the platform level and applied across every business. This includes legal templates, software that records a founder's tacit knowledge, and the shared export pipeline, allowing TSUGU to lower the cost of each new handover as it scales.

4. Target Audience

There are three groups. First, the businesses: elderly, founder-dependent heritage micro-businesses in Kamakura, including Kamakura-bori lacquerware workshops, wagashi and tofu makers, old caf  s, repair and tailoring shops, and small craft manufacturers whose value depends on owner skill and local trust.

Second, the successors: domestic career-changers, design and culinary, and vetted international apprentices who want to run a real business and earn ownership over time but cannot personally carry the buyout and the loan guarantee alone.

Third, the public and commercial partners: the City of Kamakura and Kanagawa Prefecture, which have a direct interest in preventing shutter-street decline, and overseas buyers in culture, design, and museum-shop channels.

5. Implementation Plan

In months 1 to 3, TSUGU identifies 20 founder-dependent businesses from Kamakura's 1,561 establishments recorded in the 2021 Economic Census —of which roughly 60% have only 1–4 employees. TSUGU maps these businesses by cross-referencing neighborhood aging data with shopping-street and chamber-of-commerce rosters, then scores each one across six axes: succession urgency, heritage value, resident value, owner willingness, export potential, and transfer difficulty. No public registry of succession-at-risk heritage businesses exists, which is exactly why building one is TSUGU's first deliverable.

In months 3 to 5, it runs Succession-Readiness Audits on the top three to five and places one business into a TSUGU Holdings pilot.

In months 6 to 24, it runs the staged transfer and tests one shared overseas-sales channel.

For example, take the TBCJ Kamakura-bori Workshop (made-up): owner aged 71, working alone, roughly ¥18M in annual sales, no successor. TSUGU Holdings acquires a controlling stake, at an enterprise value of about ¥8M. The entry cap table is TSUGU 85%, founder 10% as a legacy stake, and successor 5% after a trial period. The founder signs a 12-month advisor contract at about ¥150,000 per month, delivering roughly 100 hours of carving instruction and personal introductions to every key supplier and major customer.

Stage	Performance Metric	Successor stake
Trial (months 0–3)	Founder approval; basic competence demonstrated	5%
Gate 1 (months 3–9)	Training complete; at least 80% of top customers and all key suppliers retained	20%
Gate 2 (months 9–15)	Six straight months of revenue within $\pm 10\%$ of baseline; quality audit passed	45%
Gate 3 (months 15–24)	12-month stability; one controlled modernization or first export order without harming the core	71%

At the end, TSUGU sells its block down to the single golden share. Working partners include the

Japan Finance Corporation, the Credit Guarantee Association, SMRJ's nationwide succession coordinators, JETRO, and Kamakura City.

6. Financial Insight

The capital stack is structured so that public mechanisms absorb most of the risk in the early phases.

Loan layer. The acquisition is financed through the Japan Finance Corporation's Business Succession, Integration and Revitalization Support Loan (事業承継・集約・活性化支援資金), which offers low-interest funding with non-collateral options for non-family successors. JFC issued 2,790 succession-related loans worth ¥91.3 billion in FY2023, so its availability is proven.

(3) support for business succession

The Business succession-related loans in FY2023 came to **2,790 loans (107% compared to the previous fiscal year) and 91.3 billion yen (108% compared to the previous fiscal year).**

As the managers of SMEs and micro/small businesses age, JFC is responding to diverse demands for funds relating to business succession so that valuable management assets including the technologies and know-how that businesses have accumulated can be effectively transferred.

Business succession-related loans

	FY2014	FY2015	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023
Number of loans	176	707	1,492	2,467	5,593	9,047	1,442	2,380	2,610	2,790
Amount	11.9 billion yen	18.6 billion yen	29.6 billion yen	42.4 billion yen	88.2 billion yen	150.3 billion yen	47.8 billion yen	76.6 billion yen	84.2 billion yen	91.3 billion yen

Notes: 1. JFC is expanding financing subjects in order to respond to broader demand for funds such as providing funds for business succession preparations from April 2017 and environmental health-related businesses from FY2020.

2. The figure above includes results from the New Business Activity Promotion Funds (business succession-related*) established in February 2015. *Integrated into Business Success, Consolidation, and Revitalization Funds in 2017, etc.

3. Loans used for funding necessary for business succession other than Business Success, Consolidation, and Revitalization Funds, etc. (certified loans) have been added to the total since FY2018.

Figure 3. 2,790 loans in FY2023 (source: JFC Activities 2024, p.15)

Guarantee layer. Rather than forcing the successor to sign a personal guarantee, TSUGU uses the Credit Guarantee Association's Business Succession Special Guarantee (事業承継特別保証), which can make the personal guarantee unnecessary; with a certified guarantee coordinator, the guarantee-fee rate falls to 0.20–1.15%

Subsidy layer. Transfer Capsule documentation, legal templates, and founder advisory fees are supported by the SME Agency's Business Succession & M&A Subsidy (事業承継・引継ぎ補助金), which subsidizes a large share of eligible transition and professional costs.

TSUGU's own revenue will consist of:

- Municipal mapping contracts (illustratively about ¥2.5M for the 20-business survey); succession-readiness audit fees; one-time handover setup fees
- Management fees of roughly 5 to 8% of revenue
- Commission of about 15% on overseas sales
- Capital gain when the successor buys out TSUGU's stake
- Licensing the playbook to other aging towns

The early phases run on public support, and the later phases run on fees and equity returns.

7. Social Impact, Regional & International Collaboration

Tangible impact will be that heritage shops stay open, founders continue earning as advisors instead of disappearing after retirement, young successors enter businesses they could not have afforded alone, and local customers can still buy the foods, crafts, and services that make Kamakura feel like Kamakura.

Internationally, a single small-scale shop cannot usually afford the translation, packaging compliance, overseas logistics, and buyer outreach required to enter the global market. However, TSUGU solves this by using its holding-company structure to pool several businesses into one shared "Heritage Market" export unit, and enters through named JETRO channels, listing a few products on the buyer-only Japan Street catalog and applying to TAKUMI NEXT, JETRO's traditional-crafts export program that matches Japanese makers with overseas buyers in the US, Europe, and Asia.

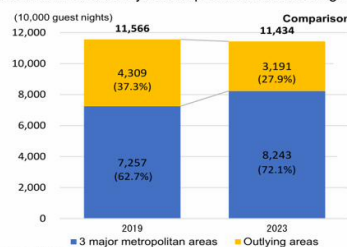
Japan Tourism Agency data confirms strong post-COVID inbound demand and clear foreign interest in Japanese history and traditional culture. Kamakura's visitor mix, led by China, Korea, Taiwan, the United States, and Europe, shows where this demand already exists. The goal is not generic souvenirs but access to foreign demand without losing local identity, and letting small shops sell high-quality traditional goods at sustainable prices instead of mass-producing cheap ones to survive.

Situation Regarding Attracting Intl.Tourists to Regional Areas



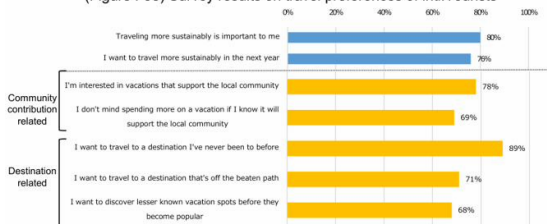
- Approx. 70% of the total number of guest nights by intl.Tourists are concentrated in Japan's 3 major metropolitan areas, and the amount of tourism consumption by intl.Tourists is notably high in Tokyo, Osaka, and Kyoto, so inbound demand tends to be unevenly distributed depending on the region.
- Travelers from around the world are highly interested in sustainable tourism and in contributing to local communities. In addition to Japanese food and shopping, there is also growing interest in traditional Japanese culture and everyday life. In order to attract more tourists to regional areas, it is necessary to improve and promote the attractiveness of each region by taking advantage of their unique tourism resources.

(Figure I-49) Proportion of the total number of guest nights by intl.Tourists in the 3 major metropolitan areas and Regional areas



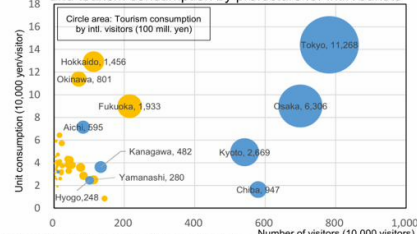
Source: Overnight Travel Statistics Survey (JTA)
Note 1: 2023 figures are preliminary.
Note 2: The 3 major metropolitan areas are the eight prefectures of Tokyo, Kanagawa, Chiba, Saitama, Aichi, Osaka, Kyoto, and Hyogo, and Regional areas are the prefectures outside the 3 major metropolitan areas.

(Figure I-38) Survey results on travel preferences of intl.Tourists



Source: Prepared by the JTA based on the Sustainable Travel Report 2023 by Booking.com and on the 2023 Global Travel Trends Report by American Express Travel.
Note 1: The Sustainable Travel Report 2023 was conducted in February 2023, targeting 33,228 Human Resources from 35 countries and regions around the world.
Note 2: The 2023 Global Travel Trends Report was conducted in February 2023, targeting Human Resources in seven countries (incl. Japan, the United States, and Australia) who traveled by plane at least once a year.

(Figure I-50) Number of tourists, unit expenditures, and tourism consumption by prefecture for intl.Tourists



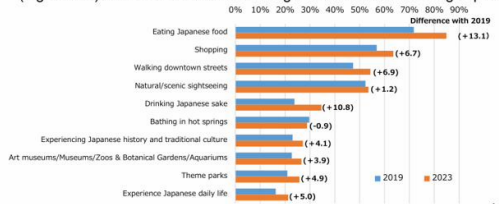
Source: Prepared from the International Tourist Survey (JTA) regional survey (tourism and leisure purposes; April-December 2023 (reference values)).

Note 1: In the International Tourist Survey, "regional surveys" are conducted to understand consumption trends by prefectures visited and are separate from the "national survey" that is used to understand the consumption trends of intl.Tourists as a whole and by country and region. "Tourism consumption by intl.Tourists," which is the total amount of consumption in Japan by all intl.Tourists to Japan, was estimated from the national survey.

Note 2: The "regional survey" was suspended from the Apr.-June 2020 period until the Jan.-Mar. 2023 period due to the impact of the COVID-19 pandemic, so the 2023 calendar year data does not include data for the Jan.-Mar. period.

Note 3: "Number of tourists" includes one-day trips as well as visits with guest nights to each prefecture. "Unit consumption" is travel expenditures per person in each prefecture by tourists to the prefecture (incl. one-day trips).

(Figure I-39) What intl.Tourists are looking forward to before visiting Japan



Source: Prepared from the International Tourist Survey (JTA) (tourism and leisure purposes; 2019 and 2023).

Figure 4. International visitors' interest in Japanese history and traditional culture in 2019 (Japan Tourism Agency).

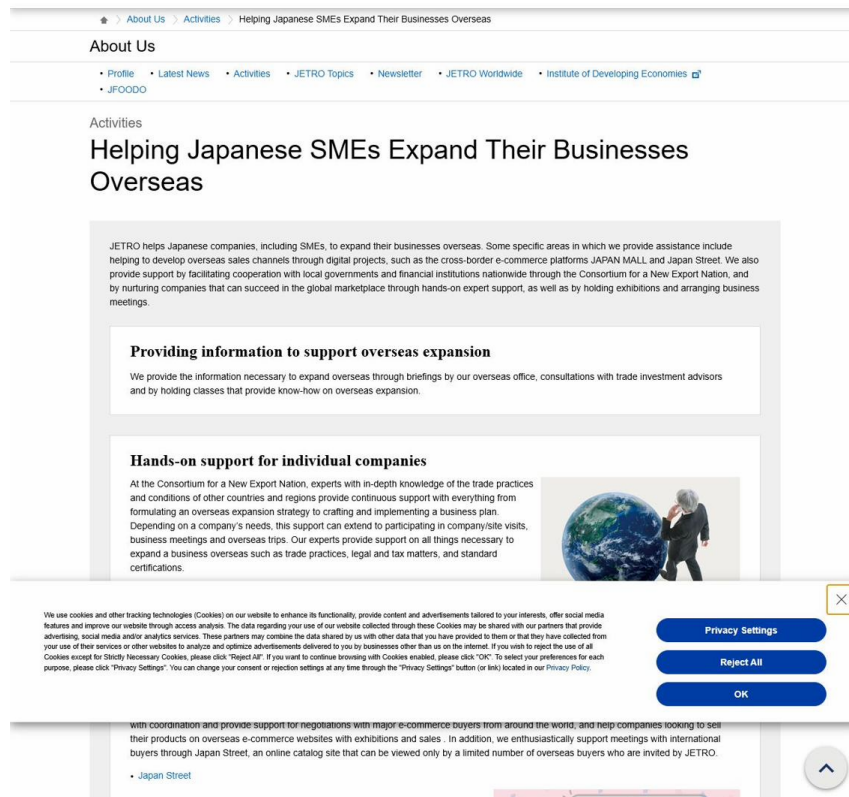


Figure 5. JETRO's SME export support underpins TSUGU's shared export bridge (JETRO).

Some successors may also be international apprentices, which fits Japan's broader labor shift: in April 2027 the Technical Intern Training Program, long criticized for low pay and restricted mobility, becomes the Employment for Skill Development system, treating foreign workers as employees under labor law and linking training to long-term skilled work. TSUGU fits this shift by employing the successor directly inside the business, mentored by the founder, fairly paid, and living in Kamakura, turning skilled newcomers into long-term owners rather than temporary labor. The legal labor pipeline already exists: wagashi and tofu businesses may qualify under the Specified Skilled Worker system for food and beverage manufacturing, while crafts such as Kamakura-bori would use case-by-case Designated Activities or other applicable residence routes.

8. Conclusion

In the end, Kamakura's problem was never a shortage of visitors, but the risk of losing the people who quietly hold its culture together. When an aging owner finally closes the shutter, what disappears is more than just a shop, it is the unwritten knowledge that helped create Kamakura as we know it, and simply matching that owner with a successor was never enough to protect it. This is personal for me, too, as my grandmother lives in Kamakura, and growing up far from her taught me how quietly these things can slip away. TSUGU is my attempt to hold onto them a little longer.

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